

debt had developed out of expanding inventories in an unprofitable market. Hence the May 1937 balance sheet of Stokely carried a serious warning for the preferred and common stockholder, as the table shows.

A year later Douglas Aircraft had paid off its bank loans and showed a current ratio of 4 to 1. Stokely suspended preferred dividends in October 1938, and in that year the price of the issue fell from 21 (par \$25) to 10.

As we pointed out in our discussion of bond selection (Chap. 13), no standard requirements such as we have been discussing are recognized as applicable to railroads and public utilities. It must not be inferred therefrom that the working-capital exhibit of these companies is entirely unimportant—the contrary will soon be shown to be true—but only that it is not to be tested by any cut-and-dried formulas.

Large Bank Debt Frequently a Sign of Weakness. Financial difficulties are almost always heralded by the presence of bank loans or of other debt due in a short time. In other words, it is rare for a weak financial position to be created solely by ordinary trade accounts payable. This does not mean that bank debt is a bad sign in itself; the use of a reasonable amount of bank credit—particularly for seasonal needs—is not only legitimate but even desirable. But, whenever the statement shows Notes or Bills Payable, the analyst will subject the financial picture to a somewhat closer scrutiny than in cases where there is a “clean” balance sheet.

The postwar boom in 1919 was marked by an enormous expansion of industrial inventories carried at high prices and financed largely by bank loans. The 1920–1921 collapse of commodity prices made these industrial bank loans a major problem. But the depression of the 1930s had different characteristics. Industrial borrowings in 1929 had been remarkably small, due first to the absence of commodity or inventory speculation and secondly to the huge sales of stock to provide additional working capital. (Naturally there were exceptions, such as, notably, Anaconda Copper Mining Company which owed \$35,000,000 to banks at the end of 1929, increased to \$70,500,000 three years later.) The large bank borrowings were shown more frequently by the railroads and public utilities. These were contracted to pay for property additions or to meet maturing debt or—in the case of some railways—to carry unearned fixed charges. The expectation in all these cases was that the bank loans would be refunded by permanent financing; but in many instances such refinancing proved impossible, and receivership resulted. The collapse